



will perhaps take another three to five years before they get there.

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So does investment in a luxury property, if managed well, yield disproportionate returns?

Absolutely. When you are doing it in existing and new iconic locations, with iconic properties, people will pay more. When that happens, the incremental return will far outweigh the incremental costs that you put in. That's why operating leverage becomes critical. One must not take a short-term view. Markets will go up and down but if you get all this right, returns can be exponential.

Taj Mansingh (in New Delhi) is a good example.

It's not opulent and has a great location. Post the renovation, there are great food and beverage offerings. Now, the hotel is always buzzing and has surprised everyone for the way it has come back with a bang after years of dispute. Look at the one that will come up at Bandstand in Mumbai (the erstwhile Sea Rock Hotel). It will take another 4-5 years, with significant capital deployment now and going forward. The aspiration is to make it the next icon.

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Tell us a little bit about the experience of taking the brand global.

When you have brand recall, there is the confidence and courage to do things outside the national frontier. Besides, the Indian diaspora has become very strong. I have met many for whom getting their children married at the Taj is an aspiration.

The other aspect is that the Indian economy has been seeing high growth and our company is net debt free. That means we have sufficient cash to take small risks. For us, going outside India is only with luxury. Personally, I don't believe that the non-luxury brands have the capability to travel across the national frontier.

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Adds Anil Chadha, Managing Director of ITC Hotels, "Luxury is no longer restricted to big hotels. The domestic consumer is willing to pay. Give him a good product and he will come back. Our boutique brand Storii is doing quite well." Besides investing in its flagship brand ITC and opening ITC Narmada (Ahmedabad), ITC Kohinoor (Hyderabad), ITC Royal Bengal (Kolkata) and the most recent ITC Ratnadipa in Colombo, over the last few years, ITC has introduced two new brands—ITC Mementos, a luxury brand and Storii by ITC, a boutique brand. Both are managed by ITC as part of its 'asset-right' model.

Growth is also coming from Tier II and III cities. Puneet Chhatwal, MD and CEO, IHCL, says, "What used to be the right product for a market seven or eight years ago today has an opportunity to upgrade to a luxury product in the same market, because the market and its needs have changed." For instance, the Vivanta in Guwahati is being upgraded to a Taj. So is Vivanta at Srinagar.

One reason behind the growth of the hospitality sector is improved infrastructure such as roads and airports. This is giving hoteliers the option of developing hotels in newer destinations. "Luxury today is all about experiences and we have planned hotels in these destinations keeping that in mind. One is in the middle of a coffee plantation, one is a mountain resort, and to reach Igatpuri, you have to go through waterfalls," says Sunjae Sharma, Managing Director for India and Southwest Asia, Hyatt.

Hyatt signed 21 new hotels across categories in 2024. Sharma says Igatpuri is close to Mumbai, Nashik and Shirdi and will cater to leisure as well as religious guests.

Zubin Saxena, Senior Vice President & Regional Head, South Asia of Hilton, says a combination of spiritual circuits, wine and culinary experiences and wellness-integrated stays is leading to opening of new markets such as Ayodhya, Bodhgaya and Kodagu. "These markets weren't there 10 years ago!" he says. "The demography of the guest is also changing. They are younger, digitally connected and willing to explore new places